GOOGL

Alphabet Inc. (NASDAQ)

$340.59 [Yahoo Finance]

Market Cap: $4.19T [Yahoo Finance]

As-of: 2026-10-18 | Latest Filing: Q2 2026 10-Q (filed July 2026) | Currency: USD

Attractiveness Score

Confidence: **High** (0 pillars excluded)

Pillar Breakdown

1. Operating Quality — 88

One of the highest-quality businesses in the market: 32-36% operating margins, $129B FY2025 operating income, and a fortress balance sheet (now levering deliberately for the AI build, $112.8B debt vs $242.5B cash plus securities). ROIC remains elite on the ad franchise.

2. Recent Trend — 72

Revenue accelerating: Q1 2026 +21.8%, Q2 2026 +24.4% YoY; Google Cloud +82% YoY; operating margin expanded to 34-36%. Offset by Q2 free cash flow turning negative ($5.9B) as capex doubled, and the stock's 3.8% September selloff on AI-agent disruption fears.

3. Forward Growth — 85

Google Cloud carries a $514B backlog (nearly doubled in twelve months) with tripled operating income; Gemini app at 950M MAU processing 22B tokens per minute; TPU system sales to external customers beginning; Waymo valued at $126B after a $16B round. Multiple compounding growth engines.

4. Valuation — 25

Our DCF base target is $130.54 vs $340.59 (-61.6%); even the Bull case ($243.03) sits 29% below the price. The reverse DCF shows the market pricing a ~63% five-year revenue CAGR. At 8.5x FY2026E revenue with FCF under acute capex pressure, the multiple discounts perfection.

5. Catalysts & Risk 55

Near-term catalysts: Q3 2026 earnings (~Oct 29), 2027 capex budget signal, Waymo expansion. But the risk ledger is heavy: a $200B+ annual capex supercycle with uncertain returns, Meta's Muse agent bypassing the search results page, ad-tech and search antitrust remedies, and YouTube share pressure.

Investment Thesis

- **The business is exceptional but the price discounts perfection:** Alphabet owns the two most durable franchises in technology, Search and YouTube, plus the fastest-scaling cloud business in the industry. Our framework rates the business Attractive on quality, growth, and trend, yet the DCF puts fair value far below the market price. This is a great company at a demanding price.
- **The capex supercycle is the crux of the valuation debate:** Management guided 2026 capex to $195-205B and signaled a significant increase again in 2027. Q2 free cash flow turned negative for the first time as $44.9B of quarterly capex exceeded $39.1B of operating cash flow. The bull case requires this spend to convert into durable Cloud and AI revenue at high incremental margins; the bear case is a multi-year ROI shortfall.
- **Cloud is the growth engine, Search is the cash engine under watch:** Google Cloud revenue grew 82% YoY to $24.8B with operating income tripling to $8.8B and a $514B contracted backlog. Search keeps compounding, but Meta's Muse agent (2.8M downloads in twelve days) and court-ordered data-sharing remedies are the first credible threats to the ad moat in two decades.
- **Valuation verdict: Hold, Valuation Concerns:** Our probability-blended DCF target is $141.22, implying -58.5% downside from $340.59. Per our rating rules, an overvalued but healthy business is a Hold on valuation concerns, not a Sell. We would turn constructive on a capex normalization signal, a Search monetization re-acceleration, or a materially lower entry price.

Key Operating Metrics

METRIC	LATEST	YOY CHANGE	3Y TREND
Q2 2026 Revenue	$120.0B [10-Q]	+24.4% YoY [10-Q]	Accelerating
Q2 2026 Operating Margin	34.0% [10-Q]	+1.9pp [10-Q]	Expanding

Google Cloud Q2 Revenue	$24.8B [Earnings call]	+82% YoY [Earnings call]	Hypergrowth
Cloud Backlog	$514B [Earnings call]	~2x [Earnings call]	Surging
2026 Capex Guidance	$195-205B [Earnings call]	+119% vs 2025 [10-K]	Supercycle
Q2 2026 Free Cash Flow	-$5.9B [Earnings call]	First negative [Earnings call]	Pressured

Historical Financial Trend

METRIC	FY2022	FY2023	FY2024	FY2025	H1 2026
Revenue ($B)	282.8 [10-K]	307.4 [10-K]	350.0 [10-K]	402.8 [10-K]	229.7 [10-Q]
Operating income ($B)	74.8 [10-K]	84.3 [10-K]	112.4 [10-K]	129.0 [10-K]	80.5 [10-Q]
Operating margin	26.5% [10-K]	27.4% [10-K]	32.1% [10-K]	32.0% [10-K]	35.0% [10-Q]
Free cash flow ($B)	60.0 [10-K]	69.5 [10-K]	72.8 [10-K]	73.3 [10-K]	N/A []
Capex ($B)	31.5 [10-K]	32.3 [10-K]	52.5 [10-K]	91.4 [10-K]	80.6 [10-Q]

Valuation

Absolute (3/10)

DCF base **$130.54** vs $340.59 (-61.6%). Blended (25/50/25) **$141.22**. Even the $243.03 Bull case is 29% below the price. 8.9% WACC (live CAPM), 2.5% terminal growth.

Versus Peers (4/8)

At ~8.5x FY2026E revenue and 22.8x forward earnings, GOOGL trades at a premium to slower-growing mega-caps but in line with AI-infrastructure peers. The premium is unsupported by near-term FCF, which is negative under the capex load.

Versus History (3/7)

Historically GOOGL traded at 18-25x earnings with 20%+ FCF margins. The current multiple embeds flawless AI-capex ROI; any guide-down in Cloud growth or capex discipline re-rates the multiple lower, as the September 3.8% selloff previewed.

Catalyst Timeline

~Oct 29, 2026 [Earnings calendar]
Q3 2026 earnings: watch Search and Cloud growth, capex run-rate, and FCF trajectory.

Q4 2026 [Management guidance]
2027 capex budget signal: a below-$200B guide with Cloud margins intact would be the single biggest positive re-rating event.

Top Risk Factors (Item 1A)

1. AI capex ROI shortfall: $195-205B of 2026 capex (up ~119% YoY), rising again in 2027, with Q2 FCF already negative. If Cloud and AI revenue do not compound fast enough, shareholders fund a multi-year build with no return. [Earnings call]

2. Search disruption: Meta's Muse agent bypasses the search results page where Google's ad auction operates; 2.8M downloads in twelve days triggered a 3.8% selloff. Agentic AI is the first structural threat to Search monetization. [Market coverage]

2027 [Earnings call]
TPU system sales ramp to external customers, a new hardware revenue stream.

Ongoing [Company disclosure]
Waymo city expansion and international launches following the $16B round at a $126B valuation.

What Would Change Our Score

A credible 2027 capex normalization (below $200B with Cloud margins holding), Search monetization re-accelerating past AI-agent fears, or a 10Y yield decline cutting our ~8.9% WACC would lift the DCF materially. Conversely, another capex guide raise, Cloud deceleration, or Search share loss would cut it further.

3. Regulatory remedies: Ad-tech rulings require business changes and the search case forces data sharing with competitors plus limits on exclusive distribution deals, chipping at structural advantages. [Court rulings]

4. Valuation: The market prices a ~63% five-year revenue CAGR per our reverse DCF. Any growth disappointment against that bar implies sharp multiple compression. [Cascadia DCF]

5. YouTube competition: Q2 YouTube ad revenue missed estimates on competition and shifting marketing budgets, removing a cushion that usually offsets Cloud investment pressure. [Earnings coverage]

Forward Growth Drivers

- Google Cloud hypergrowth: +82% YoY revenue, tripled operating income, $514B contracted backlog converting over 24 months. [Earnings call]
- Gemini scale: 950M MAU, 22B API tokens per minute, deepening enterprise AI adoption on Google infrastructure. [Earnings call]
- TPU monetization: first external sales of complete TPU systems, a new hardware revenue stream from 2027. [Earnings call]
- Capital return: Berkshire Hathaway's $10B endorsement; ongoing buybacks steadily reduce share count (12.9B to 12.3B diluted since the split). [13F / 10-Q]

Missing / Modified Data Log

- FY2026E revenue ($490B) is an estimate: H1 2026 actual $229.7B plus H2 estimated at the +20% YoY pace of recent quarters; Q3 2026 reports ~Oct 29, 2026.
- Marketable securities ($186.6B, incl. $87.1B equity investments) excluded from net debt; conservative treatment.
- Whisper/consensus estimates not available from free sources; growth CAGRs are Cascadia scenario assumptions.

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